

Power Grid Corporation of India Ltd

Energy | Power Transmission | Large Cap | <https://www.powergrid.in/>

Company Overview

Power Grid Corporation of India Limited is a Maharatna CPSU and India's largest electric power transmission company. GoI holds a 51.34% stake in the company as on March 31, 2021. PGCIL was incorporated in 1989 to set up extra-high voltage alternating current and high-voltage direct current (HVDC) transmission lines. The company moves large blocks of power from the central generating agencies and areas that have surplus power to load centres within and across regions. It is under the administrative control of the Ministry of Power, GoI. PGCIL also executes several strategically important projects, assigned to the company by GoI on nomination basis. Power Grid Corporation of India is principally engaged in planning, implementation, operation and maintenance of Inter-State Transmission System (ISTS), Telecom and consultancy services.

Financial Snapshot

Market Cap	■372,584 Cr	ROE	19.0%	Revenue CAGR	5.5%
P/E	64.39	ROCE	13.2%	PAT CAGR	9.2%
P/B	5.10	Net Margin	34.0%	EPS CAGR	9.1%
EV/EBITDA	23.07	Operating Margin	86.9%	Quality Score	70.00
Dividend Yield	3.1%	Debt / Equity	1.42	Interest Coverage	4.60
Asset Turnover	0.18	EPS	■17.00	Book Value	N/A

Investment Strengths

- Strong profit margins support healthy earnings.
- High operating margin reflects operational efficiency.
- Positive free cash flow strengthens future growth.
- Healthy dividend yield rewards shareholders.

Investment Risks

- Financial metrics should be monitored continuously for future performance.

Cash Flow Intelligence

Healthy Cash Flow

Strong operating cash flow while investing for growth and reducing financing obligations.

Capital Allocation

Latest Pattern: Reinvestor

Pattern History

Year	Pattern
2013	Mixed
2014	Mixed
2015	Mixed
2016	Mixed
2017	Mixed
2018	Mixed
2019	Reinvestor
2020	Reinvestor
2021	Reinvestor
2022	Liquidating Assets
2023	Reinvestor
2024	Reinvestor

Pattern Change Summary

Changed	Yes
From	Mixed
To	Reinvestor